the country has seen. The energy deficit the previous day had been 10 GW, a shortfall of 5 per cent. It's a deceptive statistic, though, as it represents an average—the actual situation in some states is alarming. In Haryana, for example, the power deficit on April 26 was 27 per cent; in Rajasthan 12 per cent and in Maharashtra 16 per cent. However, the worst may be yet to come—demand for electricity is estimated to touch 215 GW in May and June. If the power situation does not improve, it could be debilitating for farmers and industry, and spell untold misery for domestic consumers. For a nation boasting to be the world's fastest-growing economy, the inability to meet something as fundamental as its power needs can only be an ugly blemish on India's lofty ambition to become a five-trillion-dollar economy in another three years. Caught in a vortex of bad planning, poor economics and the lack of coordination among the various agencies responsible for power supply, the country is staring at not just weeks of uncertainty this summer, but a potentially recurring saga of power crises that could strike at the very roots of an economy still recuperating from the devastating effects of the Covid-19 pandemic. To find a way out of the current crisis, we first need to ascertain its main causes and those responsible for it.

VOLT FROM THE BLUE

Four key stakeholders are integral to the supply of power in India. Coal India Limited or CIL, whose mines are the major source of coal for thermal plants; the Indian Railways, which transports the coal from the mines to the generating units; power generating companies or gencos; and power distribution companies or discoms that ensure power reaches homes and offices. Of the 1,490 billion units of electricity generated in 2021-22, as much as 77 per cent came from thermal units, barely 11 per cent from renewable energy sources and the remaining 12 per cent from hydroelectric and nuclear power plants. India has an installed capacity of nearly 400 GW—almost 25 per cent more than the demand. Yet the country faces an acute shortage of power. Therein lies the paradox.

The lack of coordination among the different agencies and poor demand anticipation, including by the Union ministry of power that oversees the generation and supply of power across the country, are but one aspect of this sorry tale. It's the massive unpaid dues owed to all four key stakeholders that keeps them trapped in a vicious financial spool, and slows the execution of critical projects. So, Coal India has dues worth Rs 12,300 crore from gencos. They, in turn, are owed over Rs 1 lakh crore by discoms, while the latter

THE POWER PARADOX

It wasn't just the unusually high demand for electricity this summer that caused a crisis in the country. Eqaually to blame were poor planning, bad economics and policy failures by the key stakeholders in the sector–the distribution companies (discoms) supplying power to the consumers, the power generation companies (gencos) producing it, Coal India, which supplies coal for thermal generation, and Indian Railways, which transports coal to the various plants. Here is deconstructing the current power crisis

DISCOMS: STEEPED IN DEBT

- To ensure a steady power supply to consumers, India has 32 discoms, most of them state-owned. A majority are burdened in debt because of power doles or free power promised by states, apart from low tariffs for domestic consumers.
- Now, faced with increased demand, lower supply from gencos and an inability to purchase power at higher costs, discoms have resorted to power cuts and extensive load-shedding in several states



₹5
LAKH CRORE
CUMULATIVE LOSSES OF DISCOMS, INCLUDING REGULATORY ASSETS

₹1.08
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MONEY DISCOMS OWE GENCOS